EG Daily Brief: Iran escalation set to push agriculture prices

送信者: EG Daily Brief 受信日時: 2026-07-22 21:08

【メール原文】

22 Jul 2026 07:52 EDT

Daily Brief: Iran escalation set to push agriculture prices

Iran war’s impact on agriculture | Future of MENA trade | Section 338 tariffs | Chinese actions toward Taiwan | Russia’s internal limitations | China-Japan relations | Upcoming conference calls | EG in depth

summary

* Agricultural prices are set to rise, as buffers available during the early stages of the war are no longer available.
* De-risking from the Strait of Hormuz will reshape regional Gulf trade and diplomatic relations.
* The US’s use of Section 338 to impose tariffs on Canada significantly expands its trade leverage instruments.
* China will leverage its truce with the US to expand maritime control over Taiwan.
* Regions, countries, and sectors covered in this edition include the US, Brazil, Canada, China, Colombia, India, Japan, MENA, Russia, Taiwan, trade, and resources.

the top line

Resources—Agriculture prices set to rise as second Hormuz shock hits buffers

* The same geopolitical disruption will trigger a much larger price response, concentrated among fertilizer-dependent importers, key grain producers, and countries reliant on Persian Gulf energy and nutrient supplies.

* The first Hormuz episode was primarily a logistics shock cushioned by inventories, pre-buying, and expectations of de-escalation, while the second will restrict supply on markets with already limited reserves.
* Agricultural markets are no longer drawing on accumulated inventories but instead competing for scarce physical supply, with global corn stocks down roughly 8% year-on-year, export restrictions covering up to 15% of global fertilizer trade, and a strengthening El Niño.

* Read more here . Reach out to discuss: sustainability@eurasiagroup.net .

MENA—Derisking Hormuz will reshape regional trade corridors

* As Iran's threats push Gulf states to reduce their reliance on the Strait of Hormuz, Saudi Arabia and the UAE are the best positioned to develop alternative routes, while Qatar, Kuwait, and Bahrain will largely rely on Saudi and Emirati corridors.

* Routes that run through Iraq to reach Turkish and Syrian ports will depend on regional ties and stability, while Oman is emerging as a land bridge with ports that bypass both Hormuz and Bab el-Mandeb.

* Saudi Arabia's pivot toward the Red Sea will draw the kingdom deeper into Horn of Africa security issues and intensify competition with the UAE, while the UAE's alternative routes will give Abu Dhabi a greater stake in stability in Iraq and Syria.
* Read more here . Reach out to discuss: mena@eurasiagroup.net .

US, Canada, Trade—Use of Section 338 is significant expansion of the trade toolkit

* The Trump administration imposed 50% tariffs on three lists of Canadian goods worth about $20 billion, through Section 338, a presidential authority to levy up to 50% duties on imports from countries that discriminate against US commerce.

* This creates another unilateral trade instrument alongside Sections 232 and 301 and expands US leverage in future trade negotiations.
* The White House will likely use Section 338 in as expansive a manner as possible, with the legal contours around its use not yet resolved.

* The 30-day window to implementation, however, provides plenty of time for US President Donald Trump to back down on the threat of implementation, particularly if Canada offers targeted fixes.

* Key watchpoints are whether Canada re-engages in formal United States-Mexico-Canada Agreement talks over the next 30 days and Section 338's expected legal challenges.

* Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

China, Taiwan—Beijing leveraging US truce to expand maritime control around Taiwan

* Recent, unprecedented Chinese coast guard actions suggest Beijing sees its truce with Washington as an opportunity to expand its assertions of control over waters surrounding Taiwan.

* The risk of a soft quarantine, in which China requires ad hoc compliance from Taiwanese vessels, is rising but will not produce a crisis, because Washington is unlikely to meaningfully push back.
* Beijing is unlikely to adopt significantly more escalatory actions that could trigger a crisis (10% in 2026), such as temporarily blocking all commercial traffic into a Taiwanese port, or all energy shipments.

* Read more here . Reach out to discuss: taiwan@eurasiagroup.net .

Russia—Fiscal challenges boost escalation odds despite Putin’s limited options

* Despite higher borrowing costs, Russia has enough political and financial reserves to maintain the 2026 budget, albeit with no clear solutions to the country’s fiscal challenges in 2027 and beyond.

* Fiscal pressure—along with the ongoing fuel crisis and other factors—is likely to push President Vladimir Putin toward escalation in the war on Ukraine, but all of the potential courses of action carry significant downsides.
* The most likely form of escalation is creeping mobilization (distinct from a formal declaration) and stepping up the air campaign, but strikes on NATO territory are also possible, while the likelihood of Russia using tactical nuclear weapons is low at 5%.

* Read more here . Reach out to discuss: europe@eurasiagroup.net .

China, Japan—Beijing will maintain calibrated pressure campaign against Tokyo

* Beijing's anger over Tokyo’s bolder regional stance remains intense and shows no sign of abating—frozen diplomatic channels, unrealistic demands, and high-level political signaling all point to no resolution this year.

* China's reprisal will remain concentrated on Japan's defense supply chain, primarily through export controls on rare earths and other dual-use items, which Japanese firms will manage through stockpiles and alternative sourcing for now, though pressure will mount over time.
* Japan will not retaliate against China, instead accelerating efforts to bolster supply chain resilience and allowing pressure to build on US companies affected by China’s export controls targeting Japanese suppliers of rare earth magnets.

* Read more here . Reach out to discuss: china@eurasiagroup.net .

Upcoming conference calls

* 22 July 9:00 AM ET—MENA Crisis Update. Register here .
* 23 July 8:00 AM ET—China, the middle powers, and the global minerals race. Register here .
* 23 July 10:00 AM ET—Latin America update. Register here .
* 27 July 9:30 AM ET—Europe update. Register here .

eg in depth

India—India’s higher ethanol flex fuel mandate will be delayed for at least a year: Prime Minister Narendra Modi’s government remains committed to expanding ethanol use despite abandoning plans to fast-track a mandatory E25 blend requirement for automobiles—a standard calling for 25% ethanol and 75% petroleum. A series of policy measures to pave the way for a smooth ethanol transition to blends above E20 will follow before any new mandate is considered, which could take at least another year. The resulting decline in domestic ethanol demand will also delay a broader policy debate about opening up India to ethanol imports and setting international trading standards under a Global Biofuel Alliance, a G20 initiative led by India and Brazil. Read more here . Reach out to discuss: southasia@eurasiagroup.net .

Colombia—Petro plans active opposition: On 20 July, President Gustavo Petro said that he will lead his leftist Historic Pact and urged supporters to protest policies of the incoming Abelardo de la Espriella administration as the polarized country prepares for a fraught transfer of power. In a final Independence Day speech, Petro championed his administration’s social gains, called for strikes if the incoming administration reverses them, said the opposition would mobilize peacefully in the streets, and repeated allegations of fraud in the June runoff. He later announced a legal challenge to the presidential election result; however, that effort is unlikely to succeed or disrupt De la Espriella’s inauguration. De la Espriella will likely break from Petro’s policies despite his narrow margin of victory and pressure from protesters, relying on hardline security measures to build public support. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Brazil—Party conventions will test whether Bolsonaro can broaden his coalition: Senator Flavio Bolsonaro's VP pick remains the central open slot in the election, as his preferred choice of Daniella Marques hinges on a stalled coalition deal with Republicans, while President Luiz Inacio Lula da Silva's unchanged ticket signals stability and preserves his moderate, centrist image. VP choices will have modest electoral impact, though a female running mate could marginally help Bolsonaro with female voters—a constituency that has trended toward Lula, and where the gap could matter in a close race. Despite first-round fragmentation, right-wing candidates are likely to coalesce behind the strongest opposition contender in the second round against Lula. Read more here . Reach out to discuss: brazil@eurasiagroup.net .

Upcoming events:

* 22 July: Events: Alphabet and Tesla earnings; Data: Russia industrial production.
* 23 July: Events: Intel earnings; Data: Eurozone consumer confidence, South Korea GDP, and Taiwan industrial production; Central bank decisions: ECB, South Africa, and Turkey.
* 24 July: Events: The temporary 10% US global tariff is set to expire; Data: Eurozone, Japan, UK, and US S&P and India HSBC manufacturing PMI; Central bank decision: Russia.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

I’ll never stop fighting to protect Ontario, [...] If these tariffs proceed, Canada should respond tariff for tariff, dollar for dollar.”—Doug Ford, Ontario Premier Doug Ford, said in response to Trump’s tariffs.

Explanation of Political Trajectories (ie, “Trajectories”)

Eurasia Group's (EG) Political Trajectories are indicators of the net impact of political factors on the macro business environment in a country over specific timeframes. For each country, two Trajectories are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group’s country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated, Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst’s net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.